

InPlay Trading Challenge

IPO Draft Business Requirements

This document defines the technology business requirements for the InPlay Challenge IPO Draft covering the setup and operation of:

- Initial Offerings (Primary Market) for NCAA and NFL team companies
- Secondary Market Trading following completion of initial offerings
- Share inventory management, including short inventory rules
- Participant trading restrictions and market sequencing logic

The objective is to ensure the platform can support a controlled, rules-based launch of team company offerings and an orderly transition into secondary trading.

1. Business Overview

The InPlay Challenge IPO Draft will offer participants the ability to buy “team companies” tied to NCAA and NFL teams at an initial price before transitioning to the secondary market.

1.1 Market Phases

The InPlay Challenge Primary Offering will operate in two phases:

NCAA (138 Team Companies)

- Initial Offerings Start: August 22 at 1:00pm ET
- Initial Offerings End: August 26 at 10pm ET, or earlier if all shares are sold
- Secondary Trading Start: August 27 at 9:30am ET

NFL (32 Team Companies)

- Initial Offerings Day 1: September 5 from 1:00pm – 6:00pm ET (Round 1-9)
- Initial Offerings Day 2: September 6 at 1:00pm - 6:00pm ET (Round 10-18), or earlier if all shares are sold
- Secondary Trading Start: September 7 at 9:30am ET

1.2 Team Company Inventory

- There will be 138 NCAA team companies
 - 1,000,000 total shares outstanding per Team Company
 - 1,000,000 shares available for shorting in the secondary market
- There will be 32 NFL team companies
 - 900,000 total shares outstanding per Team Company
 - 900,000 shares available for shorting in the secondary market
- IPO Allotment
 - NCAA will make available all 1,000,000 shares during the IPO

- There will be 18 offering windows that lasts 1 minute each
 - The maximum shares a Team Company may sell in a single offering window is 50,000 shares
 - This is a per-round quantity, not a total float cap
- Water Line:
 - The cumulative per-team sales cap in force for a round
- Pre-Buy Book
 - Binding limit-quantity orders at the fixed listing price submitted before a team's window opens.
- Guaranteed Accrual
 - POOL x (out-of-universe games), the portion of a team's terminal value not contingent on game outcomes or volume competition.

2. IPO Draft Mechanics

- NFL and NCAA run as separate tracks.
- InPlay Markets will be the exclusive seller of all initial offerings.
- During the initial offering phase:
 - Participants may buy only
 - Participants may not sell
 - Participants may not short

2.1 NCAA Track

- NCAA IPO price freeze: T-3 from the first NCAA window = Wednesday, August 19, 2026.
- All Team Companies made available at start time.
- Five-day offering: Saturday, August 22, 2026, beginning 1:00 PM ET and running continuously to completion on August 28, 2026 at 10:00pm ET.

2.2 NFL Track

- NFL price freeze: T-3 = Wednesday, September 2, 2026.
- Total scheduled offering time: 8 hours, against a worst-case mandate budget of ~10 hours (18 rounds x 32 one-minute windows); pre-buy instant fills compress actual usage below the worst case.

Date	Day	Window (ET)	Hours
Sep 5, 2026	Saturday	1:00 PM – 6:00 PM	5
Sep 6, 2026	Sunday	1:00 PM – 6:00 PM	5

- Sequential per-team offering windows, one team at a time, alphabetical in Round 1.
 - 50,000 shares made available during each offering window
 - Window length: 1 minute maximum per team

- Pre-Buy instant fill: if the Pre-Buy Book at window open covers the full available allotment, the allotment fills immediately from the book and the process advances to the next team without running the window.
- If the Pre-Buy Book covers less than the allotment, pre-buys fill first and the remainder is available for live purchase for the balance of the 1-minute window (live orders fill first-come).
- MM completion sweep (Rounds 1-18): at window close — the earlier of the 1-minute mark or a participant sellout — the Market Maker purchases every remaining share of the allotment, bringing the window fill to exactly 50,000, and the process advances immediately.
 - Example: participants buy 32,500 Arizona Cardinals; the MM buys the remaining 17,500; window closes filled at 50,000; next team. The sweep executes at close, not at open, so the live window remains available to participants.
- Round ordering after Round 1: reverse alphabetical in Round 2, alternating thereafter, to symmetrize time-of-day effects.

3. NFL Load Balancing / Water-Line Mechanism

Objective: approximately equal shares outstanding per team within each league, without sacrificing total shares sold. The mid-round ratchet originally proposed is replaced by the water line, which achieves the equalization goal without alphabetical-order artifacts (simulation on Popularity-Index demand: ~3.4x total volume, tighter float dispersion).

- Round 1: every team's available allotment is 50,000.
- Rounds 1-16 (MM Primary Mandate in force): every window closes filled at exactly 50,000, so cumulative sold is identical across all teams ($r \times 50,000$) and the Water Line advances 50,000 per round mechanically. Float equality through Round 10 is exact by construction.
- Rounds 17+ (mandate expired): $W(r+1) = \min$ over all teams of cumulative TOTAL shares sold + 50,000; team's available allotment = $\max(0, W(r) - \text{cumulative sold}_i)$, capped at 50,000; participant orders only, no MM sweep. Teams at the line are skipped instantly.
- Zero-sale windows never reduce any other team's allotment (no mid-round ratchet).
- Termination: evaluated from Round 11 onward only — Rounds 1-10 always run in full under the mandate. The offering closes after the first complete round ($r \geq 11$) in which aggregate participant fills are below 1% of aggregate available allotments. MM purchases never count toward the termination metric.
- Terminal float equalization: approximate equality is sufficient; no trimming or refunds at close. (Exact equality already holds through Round 10 under the mandate; Rounds 11+ may diverge by at most one round-step under the water line.)

4. Allocation and Caps

- Oversubscribed Pre-Buy Books allocate pro-rata by order size, rounded down to whole shares; residual shares by random draw among unfilled orders. FIFO is expressly rejected (latency race).

- Per-participant cap: 2,500 shares (5% of base allotment) per team per round, applied to pre-buy and live orders combined. Purpose: spread ownership; prevent single-name anchoring.
- Market Maker exemption: the Market Maker is exempt from the per-participant cap and has no limit on the number of shares it may buy in any round. MM participation is residual only: participant orders (pre-buy and live) fill first; the MM never competes in pro-rata allocation of an oversubscribed book.
- MM Primary Mandate: for Rounds 1 through 10 of every issue, the MM MUST purchase all shares of the allotment remaining after participant demand (the completion sweep, Section 3). From Round 11, the mandate expires and the MM purchases nothing in the primary. Consequence: guaranteed primary float of 500,000 shares per team after Round 10; maximum MM opening inventory 85,000,000 shares across 170 names (~\$4.26B notional at current listed prices) less cumulative participant demand. MM primary purchases execute at the listed price.
- Unsold inventory: shares available but unsold at offering close seed the Market Maker's opening inventory at the listed price. [

5. Key Business Rules

5.1 Initial Offering Rules

1. Each NCAA team company begins with 1,000,000 shares outstanding
2. Each NFL team company begins with 900,000 shares outstanding
3. During the initial offering phase, InPlay Markets is the sole seller
4. Participants may only submit buy orders during the initial offering
5. No participant-to-participant selling is allowed during the initial offering
6. No short selling is allowed during the initial offering
7. A team company remains in initial offering status until:
 - All allocated initial offering shares are sold, or
 - The applicable initial offering window closes

5.2 Secondary Market Rules

1. Secondary trading begins:
 - NCAA: August 26 at 9:30am ET
 - NFL: September 7 at 9:30am ET
2. In the secondary market, participants may buy and sell according to market rules
3. NFL team company has 1,000,000 shares available for shorting
4. NFL team company has 900,000 shares available for shorting